

Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

6 Decades

Moore's Law

Compute horsepower to process
exaflops of data

4 Decades

The Internet

Trillions of tokens of training
data (accelerated by COVID)

2 Decades

Mobile & Cloud

A supercomputer in every
human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet — but cracks quickly appeared as products fell short of expectations.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

Startup revenue in months, not years

ChatGPT

Fastest-growing application in history

Midjourney

Hundreds of millions in revenue with just 11 people

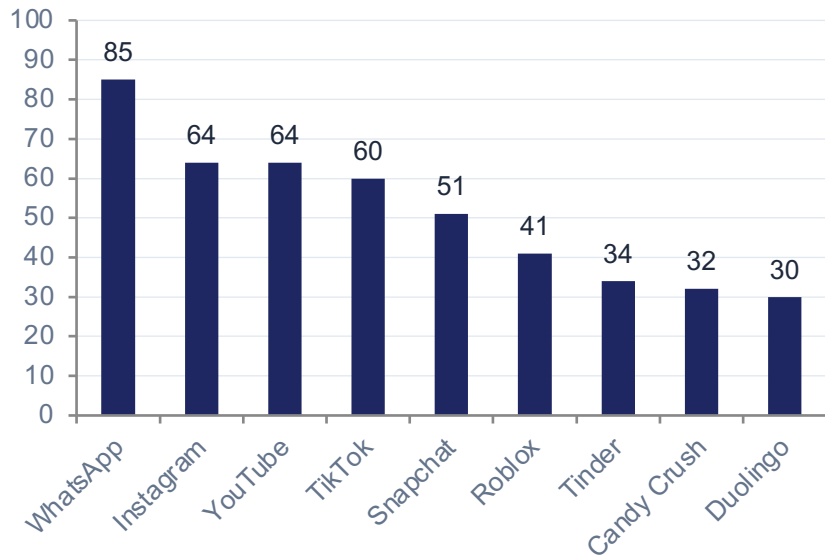
Character.ai

Users spend an average of 2 hours per session

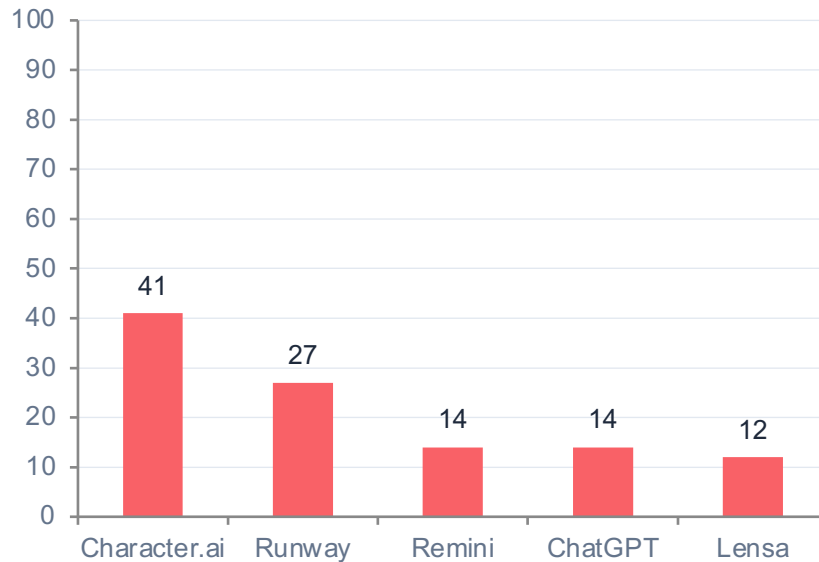
Despite rapid revenue growth, many AI companies still lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Incumbents (Median: 51%)

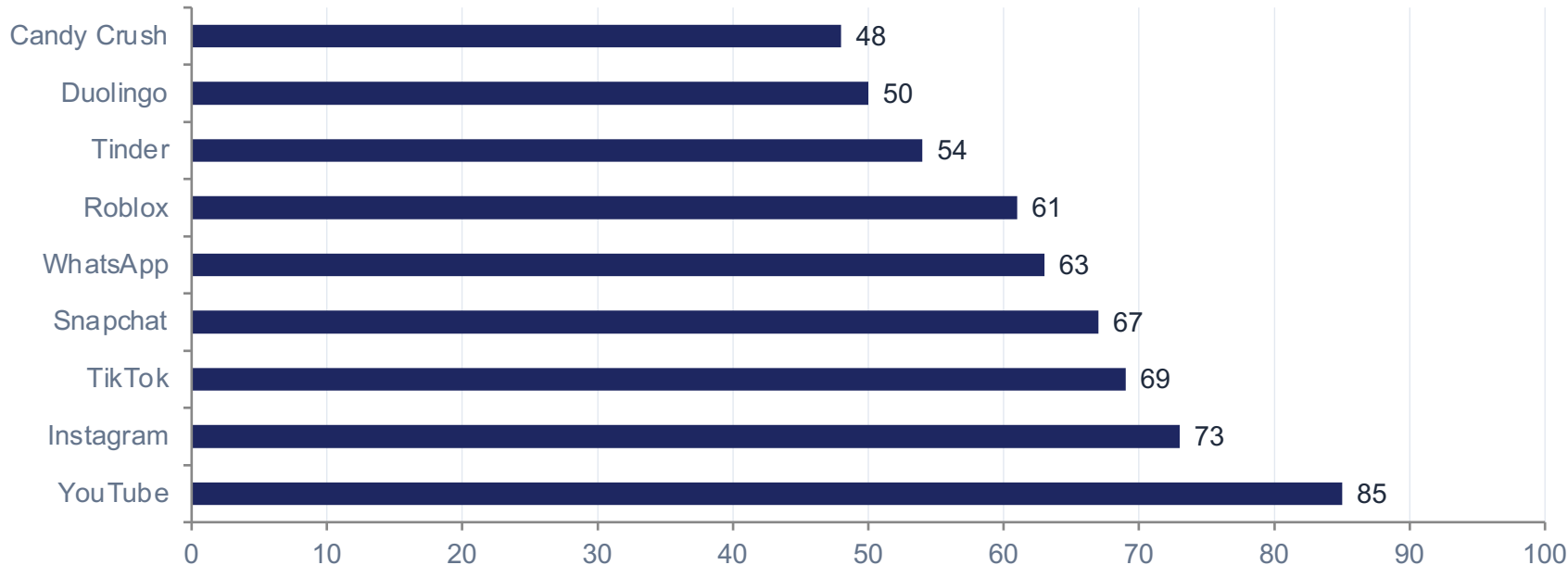


AI-First Companies (Median: 14%)



3.6x retention disadvantage for AI-first apps

YouTube Leads Incumbents at 85% Monthly Active Usage



Incumbent Median: 63% Monthly Active Usage — the bar AI apps must clear

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Poor user retention and stickiness
- Cool technology searching for problems
- Thin layer over a foundation model API

Act 2: Customer-Back

- Foundation models as a piece of the solution
- New editing interfaces for stickier workflows
- Multi-modal, end-to-end problem solving
- Solving human problems comprehensively
- Deep workflow integration and value delivery

Act 2 Exemplars: Harvey (legal), Glean (enterprise search), Character & Ava (companionship)

Market Map Reorganized by Use Case, Not Model Modality

BEFORE

Organized by Model Modality

Text models

Image models

Code models

Audio models



AFTER

Organized by Use Case

Legal (Harvey)

Enterprise Search (Glean)

Companionship (Character, Ava)

Multi-modal workflows

This reorganization mirrors the broader Act 1 to Act 2 transition — from technology hammer to actual value delivery.

Key Takeaways: What Separates Winners in Act Two

01

Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents

02

Foundation models should be a component, not the whole product

03

Multi-modal, workflow-integrated solutions will win

04

The \$1B+ revenue milestone proves real demand exists despite hype cycles

05

Companies solving end-to-end human problems will define Act 2